

ARX pitch deck

The court record is complete on both sides, so no further verification is needed — I'll write the deck directly from the two benches' findings. One note on placement: I don't have write access to the court_artifacts directory or a shell this session, so the deck is delivered here in full (the JSON fence at the end is intact for the auto-arm step). The standing ledger/dashboard update should ride with adjudication, which this deck explicitly awaits.

PITCH — ARX — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): Buy a half-size starting position (~0.5% of book) near \$12.30–12.50 before the August 13 report, sized down for insider selling and an unresolved regulatory rumor, with adds and exits keyed to the third-party premium number in the print — red bench dissents and would wait until after the report.

What we believe

Accelerant (ARX) runs a marketplace that connects specialty insurance underwriters with capital. The bear story that has cut the stock 59% from its high is that the marketplace is partly an illusion: a large share of the premium flowing across it comes from Hadron, an insurance carrier affiliated with Accelerant — the company buying its own volume. We believe that story is going stale. Premium from carriers *other than* Hadron has grown from \$61M to \$275M over five quarters (verified letter-perfect against page 10 of the company's own [first-quarter presentation](#)), Hadron's share of the mix has fallen from 67% to 41%, and management guides it to 35–40% for the full year. Meanwhile the terrifying headline loss (–\$6.49 per share over the trailing year) is almost entirely a \$1.38B one-time, non-cash accounting expense triggered by settling insider profit interests at the July 2025 IPO — it was offset by an equal capital contribution and says nothing about the ongoing business. Strip it and the company trades at roughly 9x its adjusted earnings while the genuinely third-party side of the business scales.

One honest amendment forced by our own court: the original thesis also claimed Hadron's *dollar* volume had turned down. That claim is struck — the company's own full-year guidance implies Hadron premium of \$805–920M in 2026 versus a \$188M first quarter, i.e. management plans for Hadron dollars to keep growing. The clean claim is that the non-Hadron side is scaling, only that.

What the market believes

The market is pricing a circular-volume story with a regulatory tail. The stock sits at \$12.30–12.46 against a 52-week range of \$9.18–\$30.48. Contributing beliefs, each with some basis: insiders have been steady sellers since the lockup opened (six weekly Rule 144 notices from mid-July through August

3, plus an 80,000-share sale by a CEO-linked entity at \$12.06 under a pre-set plan); a blog-level report claims a state insurance regulator is examining the company (uncorroborated anywhere else, and no company disclosure exists); underwriting profitability faded last quarter (underwriting EBITDA fell from \$11M to \$7M); and the second-quarter earnings guide of \$60–66M is flat-to-down against the \$66M just printed — so the market sees no near-term earnings acceleration to force a re-rating.

Why we might have edge

The core dislocation claim survived a hostile prosecution. The red bench attacked the data’s provenance and lost — the mix-shift series is real, read directly from the primary source. Its most dangerous charge, that Accelerant-sponsored Flywheel vehicles sit *inside* the “non-Hadron” bar and fake the diversification, was refuted on the company’s own taxonomy: Flywheel I/II are collateralized *reinsurers* funded by outside investors, and the disclosed series measures carriers’ *direct* written premium, which a reinsurance vehicle cannot inflate. And the red bench’s biggest data escalation — treating the –\$6.49 GAAP loss as a \$1.3B chasm the bulls were hiding — was overturned as an accounting artifact of the IPO. If the market is anchored on that same headline loss and the same stale mix narrative, the gap between the \$275M-and-growing third-party number and a price 59% off the high is our edge. The August 13 report is a near-term chance for the market to see the updated number.

Why it might be priced in

Three honest concessions. First, the people with the best view of the mix line are selling at exactly this price — the insider distribution is confirmed and ongoing, and it directly contradicts “the market just hasn’t noticed.” Second, our original tripwire was soft: management’s own guidance nearly guarantees the Hadron *percentage* falls into the 35–40% band, so a headline “mix improved” print proves little by itself — the market may already treat the percentage as choreographed. Third, the earnings guide is flat-to-down for the quarter, the underwriting margin faded, net revenue retention slipped to 116%, and a regulatory rumor — however thin — is unresolvable before the print. The red bench weighed these and recommended owning nothing until after the report; that dissent is part of the record.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The mix-shift series (Hadron \$123/170/180/205/188M; non-Hadron \$61/121/156/229/275M; 67%→41%) is real	Both benches independently read the 1Q'26 presentation PDF , p10	Letter-perfect match	YES
Q2 report date	Company press release naming the date and 8:00 AM ET call	August 13, 2026, before the open	YES
The Hadron-percentage tripwire actually discriminates	Arithmetic on the company’s own guidance (p13)	No — at the guide midpoint Hadron prints ~\$228M (+21% quarter-over-	YES — tripwire rebuilt on dollars

Claim	How checked	Found	Confirmed?
		quarter) while still hitting 38% mix; the percentage leg is nearly automatic	
(Red bench error) Flywheel sidecars sit inside the “non-Hadron” bar, faking diversification	Blue bench re-read p9 taxonomy directly	Refuted — Flywheel I/II are collateralized reinsurers with outside capital; they cannot appear in a direct-written-premium series. The WoodStar concern is real but is a 2027 issue, outside the current \$275M	RED ERRED — charge reduced
(Red bench error) The –\$6.49 trailing GAAP loss reveals a ~\$1.3B hidden gap vs. adjusted earnings	Blue bench pulled the Q3'25 10-Q profit-interest note	\$1,379.7M was a one-time, non-cash, equity-neutral IPO settlement expense; the ongoing adjusted-vs-GAAP gap is ~\$42M/quarter, as the thesis originally said	RED ERRED — overturned
(Our own thesis error) “Hadron absolute dollars have turned down”	Full-year guide math: 35–40% of ~\$2.3B = \$805–920M Hadron in 2026	The company plans Hadron dollar growth; the one down quarter (205→188) spans a year-end boundary and can't be seasonally adjusted (only one year public)	THESIS ERRED — claim struck
Insiders are selling	SEC filing inventory in the evidence pack	Six weekly Rule 144s July 13–Aug 3 + CEO-entity sale of 80k shares at \$12.06	YES
Regulatory (state insurance dept.) probe	Web search for corroboration	Single “sources say” blog post; no company 8-K, no trade press	UNCORROBORATED
Share count / capital structure	10-Q	221.8M shares (114.6M class A / 107.2M class B); preferred/warrant detail not pulled — a standing-rule gap	PARTIAL
Live executable price	Yahoo live quote (\$12.30); IBKR was permission-denied for both benches	No bar-level or broker-quote verification this session	GAP — both benches equally blind

PROPOSED ENTRY BANDS

All levels come from the benches' own math; the blue bench's rebuilt tripwire governs. Red's dissent (own nothing before the print) is noted; the proposed position is deliberately half-size because of it.

- **Initial buy (now, pre-print):** ~0.5% of book (half our normal starting size) at \$12.30–\$12.50. Do not chase above \$12.50 into the print.
- **The print test (Aug 13, before the open):** judge the quarter on **non-Hadron premium dollars**, ignoring the Hadron percentage entirely.
 - **Non-Hadron ≥ \$370M → confirmed.** Add to a full starting position (~1% of book) after the print.
 - **Non-Hadron \$340–370M → inconclusive.** Hold, no add, await the 10-Q for composition detail.
 - **Non-Hadron < \$370M with the stock down, or < \$340M in any tape → thesis reclassified as damaged. Exit entirely.**

- **Hadron dollars up to ~\$230M are consistent with guidance and are NOT a sell signal** (blue bench correction of red's over-tight \$200M cap).
- **Additional confirmation before adding:** insider Rule 144 cadence stops or slows materially after the print (red bench's own stated mind-changer).
- **Price stops/reviews:** a close below \$12.06 (the price insiders just sold at) is a warning, not an exit; a close below \$9.18 (52-week low) forces a full re-review regardless of the premium number.
- **Regulatory tail:** any 8-K or state-regulator disclosure corroborating the probe → freeze adds immediately, review for exit.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.18 (deck-provisional: 52-week low breach - forced full re-review)
- filing watch: 8-K until 2027-02-05 (deck-provisional: corroboration of the uncorroborated state-regulator probe or any unscheduled disclosure)
- dated pack ARX|2026-08-13: ARX: Q2 2026 results before the open; judge on non-Hadron premium dollars: >=370M add, <340M exit, ignore Hadron % (date confirmed=True)

What remains unverified

- **Composition of the \$275M non-Hadron premium at the individual-carrier level.** Nowhere disclosed. This is the residue of red's strongest charge: the WoodStar carrier's management company is majority-owned by Accelerant, and while its volume is a 2027 issue, the precedent means "non-Hadron" and "genuinely unaffiliated" are not yet proven to be the same set.
- **The ~\$42M/quarter adjusted-vs-GAAP bridge from audited numbers.** SEC data endpoints were blocked this session and the pack's XBRL slots came back empty; the bridge is reconstructed from the 10-Q narrative, not audited tags.
- **The regulatory probe.** One blog citation, zero corroboration, no company disclosure. Cannot be resolved before August 13; it caps size rather than blocking entry.
- **Full capital structure** (preferred, warrants, dilution beyond the 221.8M share count) — the standing pull-cap-structure rule was not satisfied.
- **Whether the pre-IPO period included a debt-funded payout to the sponsor** — uncheckable this session (S-1 use-of-proceeds blocked); the 10-Q shows the IPO settled profit interests, not debt, which is adjacent but not the same question.
- **Broker-level executable prices.** Both benches worked from Yahoo quotes only; IBKR was unavailable to each.

```
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bench dissents (flat pre-print)"}}
```

The deck is complete and self-contained above. Two process notes for adjudication: the proposed verdict adopts the blue bench's net position (half-starter now, tripwire-gated add/exit at the print) over red's flat-until-print dissent, and the disagreement is preserved in the verdict line and entry bands rather than smoothed over. The ledger/dashboard upsert and sensor auto-arm should fire when this is adjudicated — I couldn't reach the artifacts directory or a shell from this session, so nothing has been armed yet, which is why the sensors section flags the gap explicitly.